NVIDIA: research evolution

Edition B prepared October 19 2026; historical valuation September 10 US close. Intended user: buy-side committee with no position; decide initiate/watch-defer/do-not-initiate over 12-24 months, expressed as a range with reversal conditions.

Earlier Lab 5 base	Revised base	Causal case range	Committee action
$62.72	**$118.58**	**$55.93-$212.08**	**WATCH / DEFER**

Baseline boundary and dated addendum

Edition A admitted NVIDIA for research, not purchase. Its September 1 wording is preserved unchanged in the evidence folder. The appendix is a reading reproduction, not the original submitted PDF. The first successful Brightspace checkpoint receipt and original PDF have not been supplied. A Git tag cannot replace that receipt or establish an AI-off baseline retroactively.

October 19 addendum: Edition B uses September 10 close to align the earlier DCF/comparables labs, with Q2 information already public August 26 and acquisition disclosure public September 3. This date change is explicit. No October market facts enter the model. Baseline's "initiate" means initiate valuation research, not a buy recommendation. B's WATCH/DEFER therefore reflects completed valuation, not a claim the student previously recommended buying.

Edition B decision and architecture

At $218.36, WATCH/DEFER; intrinsic causal range $56-$212, base reference $119; approximately $95 entry ceiling with 20% margin of safety plus evidence gates. Five rolling statements feed FCFF, WACC 13.90%, g 3% and ROIC 25%; explicit cash/financial investments/debt/claims/share bridge. Finance engine in model.py, facts/assumptions in inputs.json, visible results in outputs. No network/credentials/packages needed at runtime.

A-to-B and prior-lab evidence table

Evidence / prior view	Challenge and disposition	Observable change in B / decision
Edition A: DC growth 193,737 versus 115,186 merits research	Screening is not valuation evidence; growth durability and price remain open.	LTM base 302,970, Data Center growth fade and reverse DCF. Research admission becomes conditional watch/defer. Original text unchanged.
Lab 5: annual-basis value 62.72; WACC 15.88%; reverse bracket fails	Stale annual growth path and inadequate bracket do not prove mispricing.	Latest-quarter operating base, explicit assumed WACC build, reinvestment terminal and solved reverse DCF; old output retained only as history.
Lab 8: annual GAAP P/E peer interval 370.66-931.18	Two heterogeneous peers and stale annual EPS exaggerate confidence.	Preserve policy, add consistent EV/sales and latest balances; show leave-one-out; no mechanical averaging.

Evidence / prior view	Challenge and disposition	Observable change in B / decision
Lab 10: personalized GM/R&D/SG&A/days/PPE forecast	"Other assets" mix operating/investment holdings; FCFE/cash-after-payouts labeling and discount basis inconsistent.	Investments removed from operating NWC, no markups in EBIT; FCFF from statements at WACC; all signed cash flows retained.
Lab 11: sensitivity depends on ranges; margin/WC effects not zero	+/-5 pp growth compounds; +/-2 pp margin has distinct timing. Dropping negative flows is wrong.	Named stress cases, margin/growth what-ifs, signed-flow regression and cash minimum failure test.
Lab 12: reported partner demand challenge and claim about commitments	Partner authorship/identity unconfirmed; supplier commitments are not orders.	Qualified historical review credit, independent Note 10 check, downside risk gate; fictional rehearsal sample clearly labeled.
Latest source definition: securities/cash and debt changed	Annual 62,556 includes equity holdings; debt 8,468 stale after new issuance.	Latest cash + debt securities 56,586, separate public/private recoveries, debt 33,366 book/31,400 fair. Definition check executed.
Pending acquisition headlines	Retention is service compensation; control synergy not public-share multiple.	Purchase cash 11,900 and retention 1,000 modeled conservatively, no incremental operating benefit.

Attribution of research changes

Course requirements supplied the FCFF architecture and validation standards. Existing student materials supplied NVIDIA and the prior lab trail; Labs 10-12 already recorded classification and sensitivity concerns. Files are inspectable, but authorship and reported partner attribution remain unconfirmed. Codex assisted research, coding, assumptions, drafting and checks. Sources/tests validate implementation, not forecast truth. The later watch/defer action held; evidence and conditions evolved.

AI output independently corrected

Earlier treatment scaled investments as operating reinvestment and mislabeled cash after payouts as FCFE. SEC Notes 5/6 identify financial holdings: **CORRECTED** operating NWC excludes them. Deliberate wrong scaling creates $126.46bn of false discounted investment, a bounded $5.22/share effect, not a complete alternative valuation. Further checks reject commitments as backlog and dropping negative FCFF; retain SBC cost; correct the export-risk citation to Item 1A. Codex is based on GPT-6; exact backend build is unexposed.

Unresolved evidence that limits credit

Three bounded videos and editorially corrected transcripts are supplied; audio alignment/timestamp indices remain unverified. Original checkpoint PDF/receipt, an authentic human locked record and confirmed partner review remain unresolved. Assistant tests or scripts do not prove human events. No maximum-credit claim is certified.

Evidence locations: data/source-map.md; evidence/prior-lab-index.json; evidence/assumption-challenges.md; evidence/video-review.json; outputs/validation-results.json. Full baseline hash follows in the appendix.

Existing EditionA text - reading reproduction only

The source file below remains byte-identical in evidence/. This typeset reproduction was made October 19 and is not an original submission artifact. SHA-256 (continued on the second line):

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FF289D7D83BF56F977D5D3F85F7CDF13

125841075D5E8A59AF03FA845D39ED6B
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Project 1 - Edition A

Company: NVIDIA Corporation (NVDA; CIK 0001045810) **Valuation date:** September 1, 2026 **Decision user:** Investment committee with no current NVDA position **Decision:** Decide whether to initiate, watch/defer, or not initiate a position after a defensible enterprise-value-to-equity-value valuation range is completed.

Initial thesis - initiate

Initiate valuation research on NVIDIA. NVIDIA merits deeper valuation research because Data Center revenue increased from $115.186 billion in fiscal 2025 to $193.737 billion in fiscal 2026. This growth suggests that AI-computing demand may be an important driver of future operating value, subject to testing its durability, profitability, and valuation. This is a preliminary research-admission decision, not a buy recommendation.

Known evidence

All company-specific facts below are from NVIDIA's FY2026 Form 10-K, filed with the SEC.

Item	Reported evidence
Entity	NVIDIA Corporation (NVDA; CIK 0001045810)
Primary filing	Form 10-K; accession 0001045810-26-000021; filed February 25, 2026
Reporting period	Fiscal year ended January 25, 2026
Currency and units	U.S. dollars; financial-statement amounts in millions, except per-share data
Cash	Cash, cash equivalents, and marketable securities of $62,556 million at January 25, 2026
Debt	Debt net carrying amount of $8,468 million: $999 million short-term and $7,469 million long-term
Diluted-share evidence	Diluted weighted-average shares of 24,514 million for fiscal 2026
Operating-value driver	Data Center revenue of $193,737 million in fiscal 2026, up from $115,186 million in fiscal 2025

Synthetic enterprise-to-equity bridge check

Using the class synthetic case, all monetary values and shares are in millions:

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Equity value = 1,000 + 100 - 250 - 20 - 10 = 820

Per-share value = 820 / 100 = $8.20 per diluted share
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This check confirms the direction of the bridge: add non-operating cash, subtract debt and senior/non-common claims, then divide common equity value by diluted shares. It is a mechanics check only, not a valuation of NVIDIA.

Consequential assumptions

- Data Center demand can remain durable beyond the current AI-infrastructure buildout.
- NVIDIA can retain sufficient pricing power and operating margins to convert Data Center demand into future free cash flow to the firm.
- The eventual valuation will use a consistent bridge policy for cash, marketable securities, debt, lease liabilities, and diluted shares.

Unknowns and uncertainties

- The degree of customer concentration and the risk that a small number of customers reduce purchases.
- The effect of export controls and competition on revenue growth, pricing, and margins.
- Whether current AI-infrastructure spending is sustainable or reflects an unsustainable buildout.
- The appropriate valuation range as of September 1, 2026, including forecast growth, margin, WACC, terminal growth, and the classification of cash and debt-like claims.

Research plan

1. Build a filing-based evidence ledger for revenue, EBIT, tax rate, D&A, capital expenditures, operating net working capital, cash, debt, and diluted shares.
2. Identify and label any non-recurring, accounting-basis, or classification issue before forecasting FCFF.
3. Build an FCFF valuation, bridge enterprise value to common equity, and state the diluted-share convention used.
4. Test the conclusion with revenue-growth, operating-margin, WACC, and terminal-growth sensitivities.
5. Check the durability of Data Center revenue using later filings and disclosures on customer concentration, export controls, supply commitments, and competitive conditions.

Partner-generated falsification question

What evidence in NVIDIA's future filings would show that the Data Center revenue increase is not durable enough to support the initiate thesis?

No answer is proposed here.